DH DRAFT HORSE CAPITAL PARTNERS

CONFIDENTIAL — ACCREDITED INVESTORS ONLY

SOVEREIGN & INSTITUTIONAL OUTREACH — MARCH 2026

Single-Mandate PE Lending. Six Layers of Collateral. Fixed Return.

A direct, bilateral senior secured credit facility to a single institutional PE sponsor — fully structured, deploying on close, with five independently enforceable hard asset collateral layers, a Lloyd's of London credit insurance backstop (being structured), and zero management fees.

$200K MINIMUM SUBSCRIPTION	9–17% Fixed FIXED CONTRACTUAL YIELD (P.A.) — LOCKED AT SUBSCRIPTION	3-Year TERM — NO EARLY REDEMPTION
Quarterly CASH DISTRIBUTIONS	Zero MANAGEMENT FEES & CARRY	$100M IDENTIFIED PIPELINE — DEPLOYING ON CLOSE

FIVE STRUCTURAL DIFFERENTIATORS

01 — IDENTIFIED, DAY-ONE PIPELINE

The borrower is already identified. The $100M credit facility is structured, documented, and ready to execute upon close. There is no ramp period, no origination lag, and no speculative deal-sourcing process. First dollar in is first

dollar deployed — earning its fixed contractual yield from day one. This is the structural opposite of most private credit funds, which raise capital first and spend 12–24 months searching for the deals they promised.

02 — SIX-LAYER COLLATERAL ARCHITECTURE

Most private credit structures carry one or two collateral layers. Draft Horse carries six. Five hard asset layers — each independently enforceable under a single UCC-1 perfected first-priority lien: (1) PE portfolio company cash flows; (2) commercial real estate and physical inventory; (3) 100% portfolio company equity pledge; (4) aviation assets — current G4-class charter fleet (2 unencumbered, $8M–$16M), growing as Quarter Horse Capital Partners acquires G550 aircraft for the same operator (24-jet target = $336M floor; subordinated to Quarter Horse's first-priority claim); and (5) full-recourse PE sponsor guaranty. Plus a sixth layer: a Lloyd's of London credit insurance policy currently being structured and anticipated to be in place at or prior to initial close (see Differentiator 05). Layers 1–3 and 5 are the primary recovery mechanisms at initial close. The only private credit fund in its class with this protection depth.

03 — ZERO MANAGEMENT FEES. ZERO CARRY.

Draft Horse charges no management fee on committed capital and no performance fee on profits. The fund's economics derive entirely from the spread between what the PE sponsor pays and what investors receive as their fixed contractual yield. A typical private credit fund charges 1.5–2.0% annually plus 20% carry — extracting $1.5M per year on a $100M fund before a dollar of investor return is earned. Draft Horse charges none of this. Every dollar in the fund works for investors.

04 — PE SPONSOR DUAL EQUITY ALIGNMENT

The PE sponsor holds equity on both sides of this transaction: as the primary borrowing entity AND as co-owner of the charter company that operates the aviation fleet (Layer 4 — current G4-class fleet; G550 fleet as the platform grows under Quarter Horse Capital Partners). A default event impairs the sponsor twice simultaneously — their credit standing and a separately held, income-generating hard asset business. This dual equity alignment creates borrower incentive to perform that no single-collateral structure can replicate. The principal also deploys personal capital in the same position as investor capital.

🛡 05 — LLOYD'S OF LONDON CREDIT INSURANCE — THE ONLY FUND IN ITS CLASS WITH THIS PROTECTION

Draft Horse is structuring a credit insurance policy with a Lloyd's of London syndicate (A+ rated; 335+ years of institutional underwriting history) to protect investor principal against borrower default. This is an institutional-grade backstop wholly additive to the five hard asset collateral layers — not a replacement. Co-Managing Member Adil Kassam's established Lloyd's relationship is the direct origin of this coverage. Upon a defined credit event, the syndicate pays the Fund up to 100% of insured principal; the Fund distributes returned principal to investors pro rata. Policy term is matched to the 36-month facility term. Virtually no other private credit fund in the $10M–$100M

market segment offers Lloyd's protection in addition to hard asset collateral depth. *Disclosure: Policy currently being structured and not yet executed. Coverage subject to Lloyd's syndicate final approval. Prospective investors should not rely on the policy as currently in force. Executed terms will be provided at or prior to close.*

BILATERAL LENDING ADVANTAGE — FULL COVENANT VISIBILITY, NO SYNDICATE AGENT

Draft Horse extends capital through a direct, bilateral credit facility with a single borrower — not through a broadly syndicated facility with dozens of lenders and an agent bank intermediary. This structure provides the Fund with full, real-time visibility into all borrower covenant compliance, cash flow performance, material adverse changes, and collateral condition — with no information delay, no syndicate agent intermediary, and no competing creditor at the table. In a syndicated credit, borrower deterioration is frequently identified only after it becomes a formal default. In a bilateral direct facility, the Fund detects and responds to deterioration at the earliest possible stage. Concentration risk is real and fully disclosed; the bilateral monitoring advantage is its structural corollary and is a deliberate underwriting design choice.

FUND OVERVIEW — KEY TERMS

TERM	DETAIL	TERM	DETAIL
Structure	Reg D 506(c) · §3(c)(1) · Texas LLC	Yield	**9%–17% Fixed Contractual Yield (tier locked at subscription)**
Minimum	$200,000	Lock-Up	36 Months — **No Early Redemption**
Distributions	Quarterly Cash	Management Fee	**None**
Principal	Caleb Caraway, CIO	Service Providers	NAV Fund Services · Spicer Jeffries LLP · Axos Bank · SCALE LLP

NEXT STEP — QUALIFIED INSTITUTIONAL INVESTORS

Institutional allocators conducting formal investment committee review may request the complete confidential data room, Private Placement Memorandum, and borrower due diligence materials (subject to NDA) by contacting the Principal directly. Full six-layer collateral documentation (including Lloyd's of London insurance policy terms upon execution), independent aircraft appraisals, and borrower financial statements are available at the appropriate diligence stage. Sovereign wealth fund inquiries welcome — IRC §892 tax analysis recommended.

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